

From Certification to Cash Flow

The Next Test for eVTOL and
China's Low-Altitude Economy

China's low-altitude economy is moving from policy formation to commercialisation discipline. EHang offers one of the earliest public-market windows into this transition — a case study in how certification, operations, and cash-flow conversion may reshape market pricing.

RMB 509.5m FY2025 Revenue	RMB 456.2m FY2024 Revenue	221 units FY2025 Deliveries	62.0% FY2025 Gross Margin
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EXECUTIVE SUMMARY

THE CENTRAL ARGUMENT

China's low-altitude economy is not only a flying-car story. It is a policy-backed attempt to build a new infrastructure layer above cities — requiring aircraft, batteries, sensors, airspace-management systems, vertiports, charging facilities, maintenance networks, insurance frameworks, and local operating rules. That makes the sector investable only if policy ambition can translate into operational repetition. **Certification creates the opening. Operations determine the value.**

WHAT EHANG'S NUMBERS SHOW

EHang's reported FY2025 results illustrate the tension clearly: revenue growth of 11.7% and a gross margin of 62.0% on one side; an operating loss of RMB 266.3 million and uneven GAAP profitability on the other. Q4 2025 showed what operating leverage could look like at stronger delivery volume — 100 units delivered, the first GAAP-profitable quarter — but the key question is whether that pattern can repeat across more quarters and more cities.

THE MARKET QUESTION

For Policy Alpha Research, the important question is not *Is eVTOL real?* It is: **What evidence would prove that eVTOL is becoming repeatable infrastructure rather than a policy-supported aircraft delivery market?** Under our commercialisation stress test, current market pricing appears closer to the Bull pathway than the Base pathway — the market is already pricing a meaningful degree of execution success.

01

Macro Regime: Why This Theme Exists Now

China's low-altitude economy should be understood as part of a broader macro-policy search for new growth engines. As the property-led expansion model weakens, policymakers are looking for sectors that can combine advanced manufacturing, digital infrastructure, urban services, local investment, industrial upgrading, and new consumption scenarios.

Low-altitude aviation fits that policy need because it connects multiple priorities simultaneously:

- Advanced manufacturing and electrification
- Digital airspace management
- Urban infrastructure and emergency response
- Logistics efficiency and tourism consumption
- Strategic technology leadership

This is why the sector matters beyond any 'flying car' narrative. If it develops as policymakers intend, it will require a coordinated system of aircraft, ground infrastructure, operating permits, local route design, public-safety standards, maintenance capacity, and digital traffic management — a new infrastructure layer above cities.

02

Policy Direction: From Slogan to Implementation Architecture

The policy signal has become more concrete. In 2024, China's Ministry of Industry and Information Technology, together with other ministries and the Civil Aviation Administration of China, issued the *Implementation Plan for Innovative Application of General Aviation Equipment (2024–2030)*. The plan positions general aviation equipment as strategic support for low-altitude economic development, with emphasis on intelligent, green, and integrated applications.

That matters because eVTOL commercialisation is not only about aircraft approval. It requires an implementation architecture:

- Airworthiness certification

— Production approval

— Operating permits

— Local pilot zones

— Route planning
- Airspace management

— Ground infrastructure

— Safety supervision

— Digital traffic systems

— Industrial-chain coordination

The sector is therefore moving from narrative formation into institutional formation — the difference between a speculative concept and a policy-backed commercialisation cycle.

03

Industry Transmission: Certification Is Only the First Gate

The eVTOL industry is likely to pass through four identifiable stages. Understanding where the market is in this sequence is essential for assessing valuation.

STAGE	PHASE	WHAT IS BEING PRICED	MARKET FOCUS
1	Policy Narrative	Market size, policy ambition, sector formation	TAM and policy headlines
2	Certification	Regulatory legitimacy; prototype becomes certified aircraft	Type cert, production cert milestones
3	Commercial Operation	Route deployment, flight frequency, safety record, utilisation	Repeatability of operations
4	Cash-Flow Conversion	Service revenue, operating leverage, FCF, recurring income mix	Unit economics and FCF

Stages 3 and 4 are highlighted because the value question has now shifted decisively into those phases.

Many market participants still focus on Stage 2. But certification answers only one question: *can the aircraft be approved?* It does not answer the harder question: *can the service scale profitably?* That transition is now the central test for eVTOL companies globally — in China and in the United States.

GLOBAL CONTEXT: THE SAME TRANSITION, DIFFERENT MARKETS

The Stage 2-to-3 transition is not unique to China. Joby Aviation received FAA Special Airworthiness Certification in 2023 and has been building toward commercial passenger service, targeting launch in select US cities. Archer Aviation received its Part 135 air carrier certificate in early 2025. Both face the same fundamental challenge as EHang: certification is a necessary but not sufficient condition for commercial viability.

The key difference is market architecture. US operators face a mature but fragmented regulatory environment, higher labour costs, and different infrastructure assumptions. China's model relies more heavily on policy-coordinated deployment, local government pilot zones, and state-linked procurement. Neither model has yet demonstrated repeatable profitable operations at scale.

For investors, this means the commercialisation risk is global, not China-specific. The companies that will be rewarded are those that can demonstrate Stage 3 operating evidence first — regardless of geography.

04

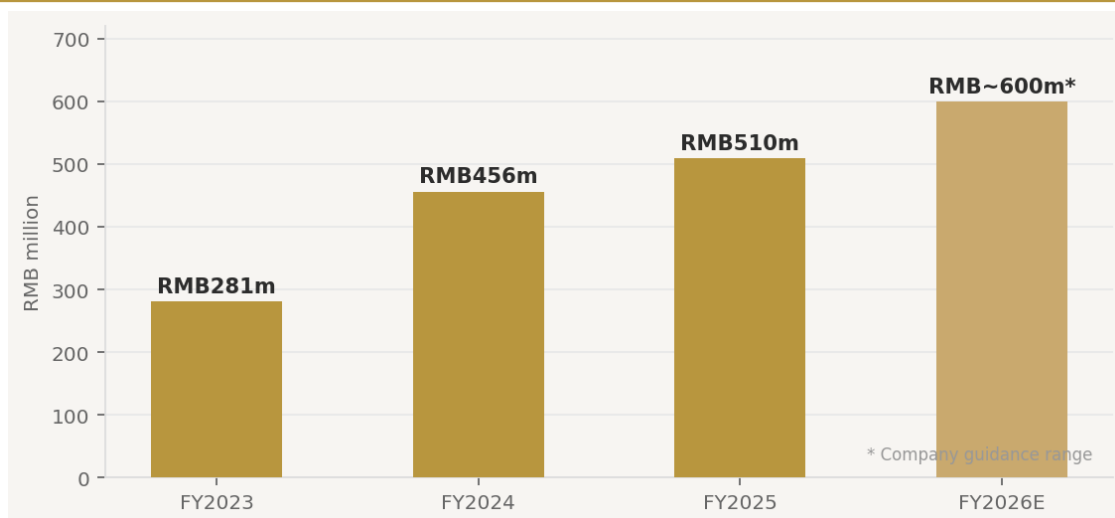
EHang as an Early Public-Market Case Study

EHang is not the entire low-altitude economy. It is, however, one of the clearest public-market case studies because it sits directly at the intersection of policy, aviation regulation, production progress, local infrastructure, and equity-market expectations.

The company has achieved meaningful milestones around its EH216-S pilotless passenger-carrying eVTOL, including type certification and production certification in China. These milestones move the company beyond prototype narrative and into regulated deployment.

The financials show why the next phase is more demanding.

FIGURE 1 — ANNUAL REVENUE TREND (RMB million)



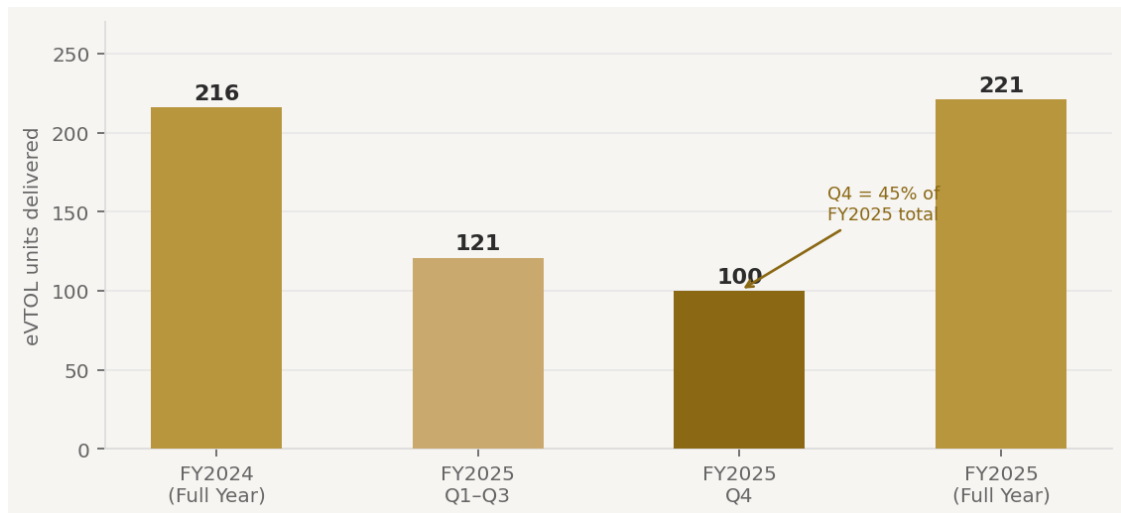
Sources: EHang FY2024 and FY2025 results. FY2026E reflects company guidance range. Chart shows reported revenue; not adjusted.

In FY2025, EHang reported RMB 509.5 million in revenue, up 11.7% year over year. Deliveries reached 221 eVTOL aircraft, including 215 EH216 series aircraft and six VT35 units. Gross margin remained strong at

62.0%.

The gross margin is important because it suggests the issue is not simply product-level profitability. The harder issue is scale. Despite strong gross margin, the company reported a FY2025 operating loss of RMB 266.3 million and a net loss of RMB 231.0 million. Adjusted net income was positive at RMB 29.4 million, but GAAP profitability is still early and uneven.

FIGURE 2 — AIRCRAFT DELIVERIES BY PERIOD

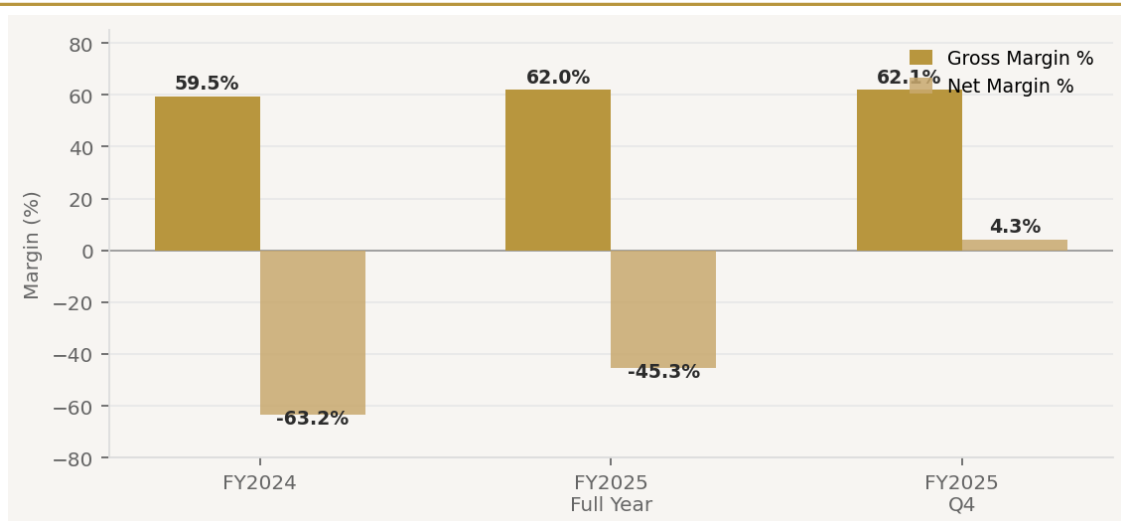


Sources: EHang quarterly and annual results. Q1–Q3 FY2025 derived from full-year minus Q4 reported figure.

Q4 2025 showed what operating leverage could look like if volume scales. Revenue reached RMB 243.8 million, deliveries hit 100 units — 45% of the full-year total — gross margin was 62.1%, and the company achieved its first GAAP-profitable quarter with net income of RMB 10.5 million.

“Was Q4 2025 an early preview of scalable commercialisation, or a strong delivery quarter that still needs to prove repeatability across more cities and more quarters?”

FIGURE 3 — GROSS MARGIN VS NET MARGIN (%)



Sources: EHang FY2024, FY2025, and Q4 2025 results. FY2024 gross margin estimated from reported data. Net margin figures are GAAP.

The margin picture is distinctive. Product gross margin is strong and stable at around 62% — a level that would be attractive in most hardware businesses. The problem is opex absorption. At current revenue scale, fixed operating costs dominate. Q4 2025 shows what the model looks like when volume is high: the same gross margin, but operating leverage that tips the quarter into GAAP profitability.

05

The Market Is Already Testing the Transition

Recent share-price volatility reflects a changing valuation framework. The stock sold off after analyst concerns around commercialisation pace and execution risk, then rebounded after the company announced a US\$30 million share repurchase programme.

That sequence matters. It shows the market is no longer pricing only certification headlines. Investors are trying to assess whether regulatory approval can become durable revenue, operating leverage, and cash-flow visibility.

The buyback may signal management confidence, but it does not resolve the commercialisation question. The real signals will come from operating data:

- Are commercial flights becoming regular, not just demonstrative?
- Are ticketed services scaling beyond showcase routes?
- Are city pilot programmes repeatable across multiple locations?
- Is revenue becoming less dependent on project-based deliveries?
- Is operating leverage visible across more than one quarter?
- Is recurring service revenue becoming measurable?

06

Valuation Bridge: What the DCF Is Really Testing

The accompanying DCF model should not be read as a conventional target-price exercise. It is better understood as a commercialisation stress test: what must the market believe about revenue scale, operating expense absorption, recurring revenue mix, and free-cash-flow conversion?

SCENARIO	COMMERCIALISATION ASSUMPTION	DCF INTERPRETATION
Bear	Certification progresses, but regular operations scale slowly. Revenue remains driven by aircraft deliveries rather than routes or services.	DCF below current market. Model implies the aircraft delivery story alone does not support current pricing.

SCENARIO	COMMERCIALISATION ASSUMPTION	DCF INTERPRETATION
Base	Gradual route deployment, improving delivery volume, early operating leverage. Improving but limited FCF conversion.	DCF below current market. Gradual commercialisation is not enough to fully support current equity expectations.
Bull	Strong route economics, higher utilisation, visible recurring operating revenue, and a transition toward a low-altitude ecosystem role.	DCF closer to current market. The market appears to be pricing this pathway or better.

Under the Policy Alpha commercialisation stress test, current market pricing appears closer to the Bull pathway than the Base pathway. That does not mean the stock is automatically overvalued — it means the market is already pricing a meaningful degree of execution success.

For the thesis to hold, EHang needs to prove that certification can become repeatable operations, that repeatable operations can become revenue quality, and that revenue quality can become free cash flow.

07

What Would Confirm the Industry Thesis

For the broader low-altitude economy, the most important confirmation signals are operating signals, not policy language alone.

Commercial flight frequency: Regular operations must increase without safety disruption. Repeatable flights matter more than one-off demonstrations.

Visible route economics: Investors need evidence on pricing, utilisation, maintenance cost, insurance cost, battery replacement, site operations, and customer demand sustainability.

Repeatable city programmes: Guangzhou, Hefei, Shenzhen, and other pilot cities matter less as isolated showcases and more as replicable templates.

Infrastructure partner entry: Vertiports, charging systems, traffic-management platforms, tourism operators, logistics companies, emergency-service providers, and local transport authorities will determine whether the sector becomes investable infrastructure.

Improving revenue quality: A stronger model would show increasing contribution from operations, services, maintenance, fleet management, or route-based income — rather than only aircraft deliveries.

Without these signals, eVTOL remains a policy-supported aircraft market. With them, it can begin to resemble low-altitude infrastructure.

08

What Could Break the Thesis

The risks are material and should not be obscured by policy narrative.

Commercialisation delay: Scaled operations may take longer than expected due to safety requirements, infrastructure gaps, airspace coordination, local approvals, or cautious regulators.

Weak demand: Public curiosity can support early flights, but recurring demand requires a clear and durable value proposition versus ground transport.

Margin pressure: Maintenance, insurance, battery replacement, site operations, or service-network costs could reduce the benefit of strong product gross margin at the corporate level.

Policy dependency: If demand is too dependent on local government procurement or demonstration projects, revenue quality may be less durable than headline orders suggest.

Valuation compression: Once investors demand operating proof, multiples can compress quickly if cash-flow visibility remains limited.

Safety risk: Aviation-adjacent technologies carry asymmetric downside from accidents, investigations, or regulatory pauses. A single high-profile incident can reset investor sentiment across the sector.

09

Policy Alpha Watchlist

The following signals are the most useful indicators of whether the commercialisation thesis is progressing or stalling.

SIGNAL	WHAT TO MONITOR	WHY IT MATTERS
Policy	Low-altitude economy policy updates, airspace reform, local pilot zone expansion, new operating permits	Determines whether the implementation architecture continues to expand beyond existing pilot cities
Operating	Commercial flight frequency, ticketed route growth, city replication pace, safety record, flight hour data	Shows whether certification has become repeatable operations — the single most important Stage 3 test
Financial	Quarterly revenue growth, gross margin stability, opex ratio trend, FCF conversion, recurring revenue mix	Tests whether product economics can become corporate economics; whether Q4 2025 operating leverage is repeatable
Market	Share-price reaction to delivery data, analyst estimate revisions, buyback execution, institutional positioning	Reveals whether investors are pricing Base or Bull commercialisation assumptions
Risk	Safety incidents, regulatory delays, weak demand signals, subsidy dependency, cash burn rate	Identifies the factors most likely to break the commercialisation thesis or trigger sector-wide multiple compression

POLICY ALPHA VIEW

China's low-altitude economy is entering a more demanding phase. The first phase was about policy formation. The second phase was about certification. The next phase is about commercialisation discipline.

EHang is an important case study because it gives public-market investors one of the earliest windows into this transition. The company has policy relevance, regulatory milestones, production progress, strong reported gross margins, and early evidence of operating leverage at higher delivery volumes.

But the investment debate has changed. The question is no longer whether eVTOL is real. The better question is whether eVTOL can become repeatable.

Certification created the opening. Operations will determine the value. The market has already learned how to price certification. The next test is whether certification can become utilisation, revenue quality, and cash flow.

APPENDIX: DCF AS A COMMERCIALISATION STRESS TEST

The accompanying public-source DCF model should be read as a framework for understanding what the market must believe about revenue scale, operating leverage, recurring revenue mix, and free-cash-flow conversion. It is not a target price or investment recommendation.

The model is most useful when paired with operating evidence: delivery repeatability, flight frequency, utilisation, service revenue mix, route economics, safety record, and cash-flow conversion quarter by quarter.

SELECTED PUBLIC SOURCES

EHang FY2025 / Q4 2025 Results:

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EHang US\$30 Million Share Repurchase Programme:

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MIIT General Aviation Equipment Plan 2024–2030:

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